CLEARANCE

AI Governance Diagnostic Report

Ashford Capital Management LLP (fictional)

Financial Services (UK) · Engagement ref CLR-UK-SAMPLE · 15 October 2026

DEPLOYMENT BLOCKED

Confidential · Not for distribution
Engine v1.6 · Library v1.9.8

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Engagement ref	CLR-UK-SAMPLE	**Date issued**	15 October 2026
Organisation	Ashford Capital Management LLP (fictional)	**Engine version**	v1.6 · Library v1.9.8
Sector	Financial Services (UK)	**Active layers**	core, fs, gdpr

DEPLOYMENT BLOCKED: 14 governance gaps identified. 3 Critical · 9 High · 2 Medium

CRITICAL	HIGH	MEDIUM	DEPLOYMENT BLOCKERS	ASSESSMENT CONFIDENCE
3	9	2	2	100%

This report is the output of a fixed-rules diagnostic evaluation. Every gap was triggered by the intake responses against a fixed gap library. The same inputs produce the same findings every time. This is not a consultant's view. It is a structured result. It does not constitute legal or regulatory advice. Specific regulatory obligations should be confirmed with your legal or compliance adviser.

EXECUTIVE SUMMARY

This assessment of Ashford Capital Management LLP (fictional)'s AI deployment identified failures across decision governance and audit capability, data protection and individual rights, and regulatory accountability and client outcomes. Individually, these gaps create operational risk. Together, they create a position that would be difficult to defend during an incident investigation, procurement review, or regulatory challenge. This system must not enter or remain in production until the findings below are resolved.

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Gap Findings

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Every gap below was triggered by intake signals. Each states when it becomes visible and what closes it. Gaps are ordered by severity.

CRITICAL

G05-CORE-REMEDIATION

Remediation path absent

Investigators do not weigh single gaps in isolation. They look for a pattern with no remediation plan behind it, because that is what separates an organisation that missed something from one that knew and did nothing.

Regulatory obligations: UK GDPR Art 24 · FCA Principles 2 and 3 · ICO AI and Biometrics Strategy 2025/26

CRITICAL

FS-G13-SUITABILITY

AI suitability assessment without individual compliance review

The FCA asks for a complete suitability file on a named client. Producing the file is the easy part. Showing how the score was calculated, and whether anyone reviewed it before it went out, is where the gap shows.

Regulatory obligations: FCA Consumer Duty (PS22/9) · FCA COBS 9A, Suitability · FCA Principle 12 · SM&CR, Senior Manager accountability · UK GDPR Art 22C · DUAA 2025

CRITICAL

FS-G15-AUDIT-TRAIL

No reproducible audit trail for AI-driven financial decisions

Reproducing a single decision for the FCA, on demand, for a specific client and date, means knowing exactly which model version produced it. That information does not exist.

Regulatory obligations: FCA Principle 3, Management and Control · FCA SYSC 9, Record-keeping · MiFID II / UK MiFIR, transaction and order record requirements · UK GDPR Art 5(1)(e), storage limitation · UK GDPR Art 22C · DUAA 2025

HIGH

G01-CORE-BOUNDARY

No decision boundary enforcement

An incident investigation asks a simple question: what governed this decision before it executed? For this system, there is no answer. The output became the action with nothing in between.

Regulatory obligations: UK GDPR Art 22C · DUAA 2025 · FCA Principle 3 · EU AI Act Art 9

HIGH

G03-CORE-AUDIT

Audit void

Someone affected by a decision disputes it and asks to see the record. The decision happened. The record of it did not.

Regulatory obligations: UK GDPR Art 22C · DUAA 2025 · FCA Principle 3 · EU AI Act Art 12

HIGH

G04-CORE-ACCOUNTABILITY

Accountability gap

Something goes wrong and the question lands on one desk: who was overseeing this system? The honest answer is no one was, formally, even though someone's name sits next to it.

Regulatory obligations: UK GDPR Art 22C · DUAA 2025 · SM&CR · EU AI Act Art 14

HIGH

GDPR-G01-LAWFUL-BASIS

No documented lawful basis for AI data processing

An ICO investigation starts with one question: what is the lawful basis for this processing? If the answer was never written down, there is nothing to produce.

Regulatory obligations: UK GDPR Art 6 · UK GDPR Art 9 · DUAA 2025 · ICO Lawful Basis Guidance · Data Protection Act 2018

HIGH

GDPR-G04-DSR-PROCESS

No process for handling data subject rights in AI systems

Someone contests an automated decision about them, which is their right under UK GDPR. There is no process on the other end to receive that challenge, only silence.

Regulatory obligations: UK GDPR Arts 15-22 · UK GDPR Art 22C · DUAA 2025 · ICO DSR Guidance · Data Protection Act 2018 s.167

HIGH

GDPR-G05-VENDOR-DPA

No Data Processing Agreements with AI vendors

A vendor audit, or worse a breach at the vendor, raises an obvious question: what can you compel them to do? Without a DPA in place, the answer is nothing. No deletion right, no processing restriction, no indemnity.

Regulatory obligations: UK GDPR Art 28 · UK GDPR Art 32 · ICO Controller-Processor Guidance · Data Protection Act 2018

HIGH

FS-G14-SMCR-ACCOUNTABILITY

No named SM&CR accountable individual for AI decision systems

An FCA supervisor asks a direct question in a supervision visit: who is accountable for this AI system? The expected answer is a name in a Statement of Responsibilities. Right now there isn't one.

Regulatory obligations: SM&CR, FCA Senior Managers Regime · FCA FIT, Statements of Responsibilities · FCA Principle 3, Management and Control · FCA Principle 11, Relations with Regulators · DUAA 2025

HIGH

FS-G16-CONSUMER-DUTY-OUTCOME

No evidence of good client outcomes from AI-driven processes

At the annual Consumer Duty board attestation, the board signs off that clients receive good outcomes. For the AI-assisted processes, there is no evidence behind that signature, only the assumption that things are fine.

Regulatory obligations: FCA Consumer Duty (PS22/9), Outcome monitoring · FCA PRIN 12, Consumer Duty · FCA FG22/5, Final Non-Handbook Guidance · FCA Vulnerability Guidance (FG21/1) · UK GDPR Art 22C

HIGH

FS-G17-ALGORITHMIC-BIAS

No bias or fairness controls on AI-driven client decisions

A client complaint, or an FCA visit, prompts someone to finally look at the output distributions. Nobody has ever checked whether the system treats clients with protected characteristics differently. That gap is now the finding.

Regulatory obligations: FCA Consumer Duty (PS22/9), Fair treatment · FCA Principle 6, Customers' interests · Equality Act 2010, ss.13, 19 (direct and indirect discrimination) · FCA FG22/5, Final Non-Handbook Guidance on Consumer Duty · UK GDPR Art 22C · DUAA 2025

MEDIUM

G02-CORE-PROVENANCE

Provenance weakness

A regulator or auditor asks where the data came from that drove a specific decision. Tracing it back takes days, not minutes, and for some inputs there is no trail at all.

Regulatory obligations: UK GDPR Art 5(1)(d) · UK GDPR Art 22C · DUAA 2025 · ICO Data Accuracy Guidance

MEDIUM

GDPR-G02-PURPOSE-LIMITATION

Personal data used by AI beyond its original collection purpose

Someone asks why their data ended up feeding an AI system they never knew existed. The honest answer is that it was collected for something else entirely, and no one checked whether feeding it to this system was still compatible with that original purpose.

Regulatory obligations: UK GDPR Art 5(1)(b) · UK GDPR Art 6 · DUAA 2025 Art 8A · ICO Purpose Limitation Guidance

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Regulatory Obligations

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The obligations below are engaged by the gaps identified in this report. GAP: a triggered finding directly engages this obligation. REVIEW: this obligation is relevant to your sector and worth examining. NOT COVERED: this assessment did not include questions for this obligation.

OBLIGATION	RELEVANCE	STATUS
UK GDPR Art 6	Lawful basis must be documented for every AI processing activity involving personal data	GAP
UK GDPR Art 22C	Human review mechanism required for automated decisions affecting individuals	GAP
UK GDPR Art 28	Data Processing Agreements required with every AI vendor processing personal data	GAP
DUAA 2025	AI-specific data rights and oversight obligations under the Data Use and Access Act	REVIEW
FCA Consumer Duty	Good client outcomes, evidence of delivery required for board attestation	GAP
FCA SYSC 9	Record-keeping, decision records must be reproducible on demand	GAP
SM&CR	Named Senior Manager accountable for AI decision systems in their remit	GAP
FCA Principle 3	Management and control, governance obligations over automated systems	REVIEW
Equality Act 2010	Bias and fairness assessment required for AI affecting protected characteristics	GAP

NEXT STEP

CLEARANCE identifies gaps. It does not remediate them. Remediation is carried out by a qualified partner. Contact whoever provided this report to discuss next steps.

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Remediation Roadmap

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One action per gap. Ordered by timeline. Critical gaps require immediate action. High severity gaps must be addressed within 90 days. Medium severity gaps within 180 days.

TIMELINE	GAP	ACTION REQUIRED	PRIORITY	OWNER
IMMEDIATE	**G05-CORE-REMEDIATION** Remediation path absent	Designate a named individual responsible for AI governance and give them 30 days to produce a written plan. Even a one-page document with milestones is enough to show the organisation is taking this seriously.	CRITICAL	your board
IMMEDIATE	**FS-G13-SUITABILITY** AI suitability assessment without individual compliance review	Define a minimum individual review rate immediately. Implement a sealed decision log for every assessment. Assign SM&CR accountability in writing.	CRITICAL	your General Counsel
IMMEDIATE	**FS-G15-AUDIT-TRAIL** No reproducible audit trail for AI-driven financial decisions	Implement tamper-evident, immutable decision logging immediately. Define the retention period in line with SYSC 9. Implement a controlled model change process. Run a retrospective audit to identify the unlogged exposure period.	CRITICAL	your system architect
90 DAYS	**G01-CORE-BOUNDARY** No decision boundary enforcement	Introduce a rule evaluation layer between this system's output and the action it takes. Even a minimal documented ruleset is a material improvement on none.	HIGH	your system architect
90 DAYS	**G03-CORE-AUDIT** Audit void	Start logging every decision this system makes today: date, input, output, rule applied, in a write-once store. This is the foundation. Every other governance control depends on it existing.	HIGH	your compliance lead
90 DAYS	**G04-CORE-ACCOUNTABILITY** Accountability gap	Have the accountable individual start an oversight log this week: date, decision reviewed, action taken or confirmed. Even a simple log converts a job title into a defensible position.	HIGH	your compliance lead

TIMELINE	GAP	ACTION REQUIRED	PRIORITY	OWNER
90 DAYS	**GDPR-G01-LAWFUL-BASIS** No documented lawful basis for AI data processing	Map every AI processing activity involving personal data to a specific UK GDPR Article 6 lawful basis and record it in a processing register. Complete within 30 days.	HIGH	your Data Protection Officer
90 DAYS	**GDPR-G04-DSR-PROCESS** No process for handling data subject rights in AI systems	Map every AI system holding personal data into the data subject rights response workflow. Document the Article 22C human review process. Implement the DUAA 2025 complaints mechanism.	HIGH	your Data Protection Officer
90 DAYS	**GDPR-G05-VENDOR-DPA** No Data Processing Agreements with AI vendors	Produce a register of every AI vendor processing personal data on your behalf. Execute DPAs with all of them. Until DPAs are in place, affected tools should not be used with personal data.	HIGH	your Data Protection Officer
90 DAYS	**FS-G14-SMCR-ACCOUNTABILITY** No named SM&CR accountable individual for AI decision systems	Update the relevant Statement of Responsibilities immediately to name the accountable Senior Manager. Document the oversight protocol. Add AI systems to the Management Responsibilities Map.	HIGH	your compliance lead
90 DAYS	**FS-G16-CONSUMER-DUTY-OUTCOME** No evidence of good client outcomes from AI-driven processes	Define the client outcomes your AI system is intended to deliver. Implement quarterly outcome monitoring. Apply vulnerability screening to AI outputs before dispatch.	HIGH	your General Counsel
90 DAYS	**FS-G17-ALGORITHMIC-BIAS** No bias or fairness controls on AI-driven client decisions	Commission a bias assessment of the AI model before the next deployment cycle. Implement quarterly output distribution monitoring. Add a fairness attestation to the model approval process.	HIGH	your system architect
180 DAYS	**G02-CORE-PROVENANCE** Provenance weakness	Create a register of every data source feeding this system. Assign an owner and a validation status to each.	MEDIUM	your system architect
180 DAYS	**GDPR-G02-PURPOSE-LIMITATION** Personal data used by AI beyond its original collection purpose	Identify every AI processing activity using data beyond its original collection purpose. Complete a compatibility assessment for each under DUAA 2025 Article 8A. Update privacy notices before the next data collection cycle.	MEDIUM	your Data Protection Officer

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Evidence Appendix

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ASSESSMENT RESPONSES

QUESTION	RESPONSE	CATEGORY
AI system is live in production or active pilot	Yes	Your AI system
System makes or influences high-impact decisions	Yes	Your AI system
Decisions execute without individual human review	Yes	Your AI system
A written decision boundary document exists	No	Rules and boundaries
That document is version-controlled and enforced at runtime	No	Rules and boundaries
System uses data from outside the organisation	Yes	Data
Every input is traceable to its origin, owner, and last update	No	Data
Automated validation runs before data reaches the system	No	Data
Every decision is logged automatically at the time it happens	No	Records and accountability
A tamper-evident, provable audit trail exists	No	Records and accountability
A functioning human override mechanism exists and is used	No	Records and accountability
A named individual is personally accountable for this system	No	Records and accountability
An incident, near-miss, or complaint has occurred	Yes	When things go wrong
Documented corrective action was taken following the incident	No	When things go wrong
Does the AI make or influence suitability or credit decisions?	Yes	FinServ Controls
Is there a named SM&CR accountable individual for this AI system?	No	FinServ Controls

QUESTION	RESPONSE	CATEGORY
Are outcomes monitored for bias or disparate impact?	No	FinServ Controls
Has a bias assessment been conducted on this AI system?	No	FinServ Controls

ASSESSMENT INTEGRITY

Organisation: Ashford Capital Management LLP (fictional)
Sector: Financial Services (UK)
Run ID: 7af0a622-c51b-4a28-9415-338703735e6c
Engine version: v1.6 · **Library version:** v1.9.8
Active layers: core, fs, gdpr
Findings hash: fcad3d84cd770fafe457ff8f94604afea5b9354c208d75189f5cd9d77a1e0768
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